

Project: Demand & Supply Analysis

MICROECONOMICS

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Contents

Introduction 2

Objectives..... 2

Data Table..... 2

Graph..... 2

Simple Diagram 3

Demand Analysis..... 3

Supply Analysis..... 3

Findings 3

Conclusion 3

Introduction

Demand and supply are the fundamental concepts of microeconomics that explain how prices and quantities are determined in markets.

Demand represents the quantity of goods consumers are willing and able to purchase at different prices, while supply represents the quantity producers are willing to provide.

Wheat is one of Pakistan's most important agricultural products. It is a major food item and contributes significantly to the agricultural sector. Changes in production, weather conditions, input prices, and government policies influence wheat prices.

This project analyzes the relationship between wheat price, quantity demanded, and quantity supplied to understand market equilibrium.

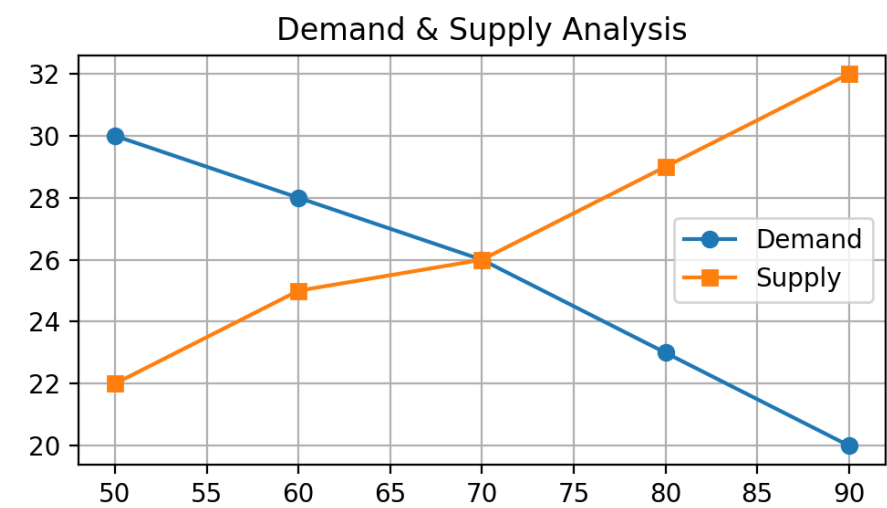
Objectives

- To analyze demand and supply relationships in Pakistan's wheat market.
- To identify market equilibrium price and quantity.
- To understand consumer and producer behavior.
- To apply microeconomic concepts to real market conditions.

Data Table

Price	Demand	Supply
50	30	22
60	28	25
70	26	26
80	23	29
90	20	32

Graph



Simple Diagram

Demand ↓ with Price ↑

Supply ↑ with Price ↑

Demand + Supply → Market Equilibrium

Demand Analysis

According to the Law of Demand, price and quantity demanded have an inverse relationship.

When wheat prices increase:

- Consumers reduce their consumption.
- Purchasing power decreases.

Example:

At Rs.50/kg:

Demand = 30 million tons

At Rs.90/kg:

Demand = 20 million tons

Supply Analysis

According to the Law of Supply, price and quantity supplied have a positive relationship.

When wheat prices increase:

- Farmers increase production.
- Producers earn higher profits.

Example:

At Rs.50/kg:

Supply = 22 million tons

At Rs.90/kg:

Supply = 32 million tons

Findings

- Wheat prices are determined by market forces.
- Higher prices reduce consumer demand.
- Higher prices increase production incentives.
- Equilibrium creates balance between demand and supply.

Conclusion

Demand and supply determine market equilibrium. The equilibrium occurs at Rs.70/kg where demand equals supply (26 million tons).